make much difference to the bottom line at the end of the year either way, but it is still a practical detail that needs to be addressed. Table 10.1 shows an example of some sub-accounts.

A certain amount of cash is always needed in your accounts to pay for the settlements of futures and to use as collateral. You may be able to use bonds or similar instruments as collateral as well, depending on your broker and your negotiation position, but having some liquidity on the books cannot be completely avoided. Make sure you have enough to settle your losses and that you are able to pay up for any potential investor redemption. If you have to sell off bonds that you intended to keep to maturity because of unexpected investor fund outflows, then something has gone wrong in your cash planning.

Having said that, it is of course in your interest to keep the cash to a minimum while at the same time at safe enough levels to be able to settle the said expenses and outflows. There are two reasons why you want to minimise the cash on the books and though one of them is well known, the other is increasing in importance these days. The more widely understood reason is the additional interest income you can get from placing excess liquidity with the government, and even though the yields these days are far from what they used to be, there is still validity to that argument. Even if you manage to get only 0.25% on the portfolio in a year, it is still free money and while the risk-free moniker can be discussed, it is as close as you get.

The other reason is that any cash held by your bank or broker will evaporate into thin air if they go bankrupt. I don't much care if a broker claims that accounts are segregated and that there is no risk, because we have all seen that this is not always the case in real life. All it takes is a former senator with apparent gambling problems as CEO and a billion bucks of customers' money can vanish in no time. No matter how much

TABLE 10.1 Sub-accounts overview example

Account	Currency	Cash available	Unrealised P&L	Account value
5611.77512-124/U	USD	34,124,566.86	−131,548.22	33,993,018.64
5611.77512-124/E	EUR	124,886.12	146,324.87	271,210.99
5611.77512-124/C	CHF	−12,781.20	34,819.15	22,037.95
5611.77512-124/G	GBP	14,379.08	−2,674.00	11,705.08
5611.77512-124/H	HKD	14,721,927.45	2,456,874.23	17,178,801.68
5611.77512-124/J	JPY	−132,453.00	278,226.00	145,773.00
5611.77512-124/C	CAD	74,558.98	−4,235.73	70,323.25